

How finance works

For publicly traded companies, the Securities Exchange Act of 1934 is the framework for financial accounting and reporting. The Securities and Exchange Commission (SEC) enforces the Act.

The SEC has established reporting requirements for companies whose shares trade on public exchanges such as the New York Stock Exchange, the NASDAQ Stock Market, and the NYSE Market LLC. Privately held companies are subject to fewer requirements.

Tax reporting

Both private and public companies must file tax returns to the Internal Revenue Service on an annual basis. The due date varies based on the filer's status. Sole proprietorships follow the same schedule as individuals and must file by April 15 or request an extension. Partnerships must file by the 15th day of the fourth month after the end of their fiscal year. Public companies must file by the 15th of the third month.

Financial disclosure

Exchange-listed companies must make their financial records publicly available on a quarterly and annual basis, respectively. They must report unscheduled, material events (such as an acquisition or divestiture). Officers and insiders must declare significant purchases or sales of company stock, and the terms of issuance for corporate notes must be detailed.

Regulation Fair Disclosure (Reg FD) stipulates that companies must disseminate financial information simultaneously to all investors. The SEC amended Reg FD in 2013 to include disclosures through social-media channels such as Twitter and Facebook.

Public companies must retain a licensed auditing firm to verify the veracity of their financial records. Under SEC rule 3235-A174 (2003), auditors must retain client records, including worksheets, financial data, meeting minutes, electronic correspondence, and other materials used to form an opinion for seven years.

Reporting standards

Companies must log and report financial transactions to the SEC according to Generally Accepted Accounting Standards (GAAP) as established by the Financial Accounting Standards Board, a private, nonprofit organization. Due to the increasingly global nature of business, there is a movement to adopt International Financial Reporting Standards (IFRS).

In the aftermath of several events in recent years, including the bursting of the so-called dot-com bubble, the increased use of controversial financial instruments like mortgage-backed securities (MBS) and collateralized debt obligations (CDO), and the 2007–2008 financial crisis, the FASB has adopted a number of new rules aimed at restoring order and clarity in the markets.

Accounting periods

For sole proprietorships, the reporting period for tax purposes runs simultaneous to the calendar year. Publicly traded companies may set their own fiscal years. Public companies must file a report for each fiscal quarter, as well as a report at the end of each fiscal year. Reports generally must be released within 45 days after the close of a quarter.

Corporate fraud

In addition to its regulatory functions, the SEC, through its Division of Enforcement, is also the US's chief watchdog when it comes to policing and prosecuting financial fraud. The SEC is mainly on the lookout for several types of misconduct:

False statements. Corporations must report financial information that, to the best of management's knowledge, is complete and accurate.